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GMBA 5885 W02
Strategic Mgt Global Info Sys

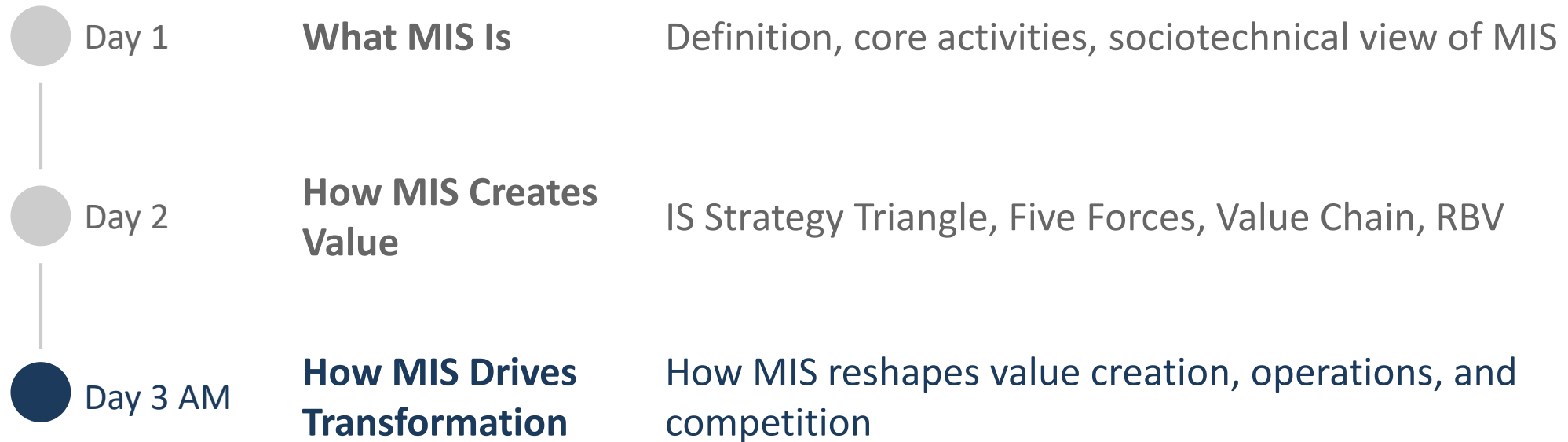
MIS and Digital Transformation

Day 3 · Morning Session

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25 April 2026

Where We Are

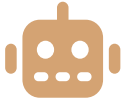


Check

- Can you explain the IS Strategy Triangle to your partner?
- Can you identify IS-driven competitive advantage using a framework?

Learning Objectives

By the end of this session, you should be able to:

- 1 Understand **why** firms pursue digital transformation and what **triggers** it
- 2 Distinguish digital transformation from **digitization** and **IT projects**
- 3 Analyze key **managerial tensions**: efficiency vs. agility, own vs. partner, centralize vs. empower
- 4 Outline how to conduct digital transformation and diagnose **why** initiatives **fail**
- 5 Evaluate how **AI** changes the **possibilities** and **risks** of DT 

Kick Off

In your experience, what most often triggers digital transformation?

- A** Cost and efficiency pressure
- B** Customer experience / new demand
- C** Competitive threat
- D** Regulation / risk / crisis

Why Firms Pursue Digital Transformation

Customer Expectation

Customers expect the best digital experience.

They demand speed, visibility, and convenience.

They expect personalization and seamless journeys.

A great product no longer excuses a poor experience.

Operating Complexity

Businesses are more connected, complex.

Products, channels, suppliers, and data are tightly interconnected.

Manual work breaks down as scale and variety grow.

Most firms lack usable, connected, decision-ready data.

Competitive Logic

Competition is faster. The rules have changed.

Rivals replicate and innovate faster than ever.

The battleground shifts to speed, integration, and ecosystem position.

Transformation is defensive for some—a growth engine for others.

Examples

Example A: bank



Customers can open accounts online but still must visit a branch to complete key steps. The app exists, but the process is not truly digital.

Trans need: Redesign journey, compliance workflow, and decision rules — not just launch another app.

Example B: manufacturer



Demand changes quickly, but production and procurement react too slowly. Forecasts, inventory, and logistics are fragmented across teams.

Trans need: Integrated planning, supply visibility, and shorter response cycles.

Example C: hospital



A digital front end exists, but professionals still rely on phone calls, spreadsheets, and workarounds.

Trans need: Back-end integration, workflow redesign, and role clarity.

What Is Digital Transformation

✓ What it is

A strategic and organizational redesign enabled by digital technologies

It changes how a firm creates value, operates, makes decisions, and serves customers

It often affects processes, roles, metrics, structure, and culture — not just systems

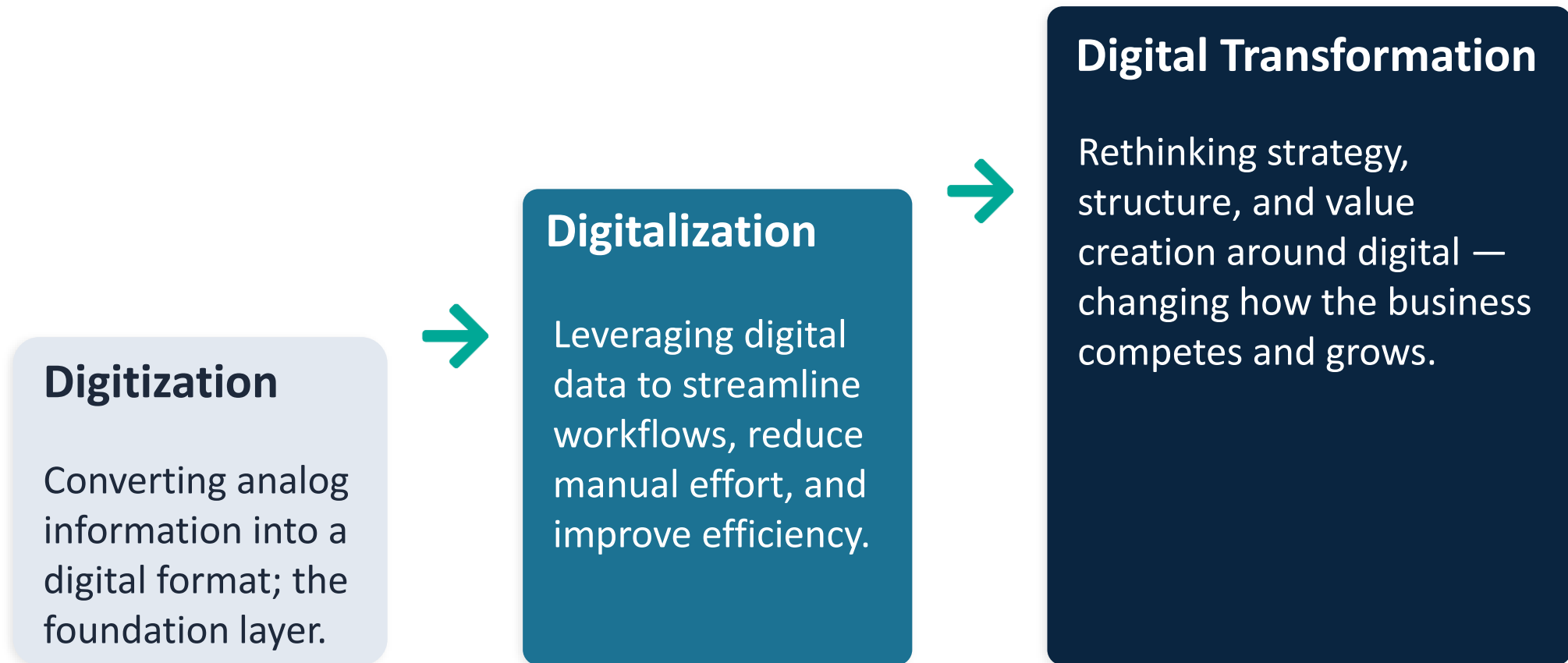
✗ What it is not

Not simply buying new software

Not a website, app, dashboard, or AI pilot by itself

Not an IT project that leaves business processes and incentives unchanged

What Is Digital Transformation



What Changes in Digital Transformation



Customer Interface

Channels, journeys,
personalization, service speed



Operations

Planning, workflow,
coordination, cycle time



Decision Model

Data visibility, analytics, real-
time signals, exceptions



Business Model

Pricing, channel logic,
customization, ecosystem



Organization

Roles, incentives, governance,
skills

Common Misread of Digital Transformation

1 Technology-first

“Let’s buy the tool first and figure out use cases later.”

Result: Expensive pilots, weak adoption, unclear value.

2 Front-end only

The app or portal improves, but data, workflow, and incentives stay old.

Result: Customers see digital; employees still do manual workarounds.

3 Efficiency only

The firm optimizes cost and control but ignores speed, flexibility, new revenue logic.

Result: Better today, weaker tomorrow.

DT is difficult because it is easy to modernize the visible layer while leaving the underlying business logic untouched.

Managerial Tensions in DT



Efficiency vs. agility

How much should the firm standardize for control and cost, and how much flexibility should it preserve for speed and customization?



Own vs. outsource/partner

What should the firm build as an internal capability, and what should it source from vendors or ecosystem partners?



Centralize vs. empower

Which decisions and data standards must be centralized, and where should business units or front-line teams retain autonomy?

- Transformation is not only a technology problem.
- It is a set of operating model choices under uncertainty.

Tension 1 – Efficiency vs. Agility

Efficiency logic

- Standardize processes and data definitions
- Reduce waste and errors
- Increase visibility, consistency, and control
- Works well when demand is stable and variation is costly
- ERP systems are the classic efficiency backbone

Agility logic

- Respond faster to changing demand
- Support small batches, customization, and experimentation
- Allow faster local decisions and shorter loops
- Matters when customers, channels, or products change quickly

- Good transformation does not choose one side forever.
- It decides where standardization creates value and where flexibility creates value.

Tension 2 – Own vs. Outsource/Partner

Why firms outsource or partner

- Faster time to market
- Access to missing technology or talent
- Lower upfront investment
- Easier scaling in well-understood domains
- CRM and SCM platforms are common outsource choices

Why firms keep capabilities in-house

- Need tighter fit with strategy and data
- Need faster adaptation to changing market needs
- Need stronger control over customer experience or sensitive processes
- Want to build a long-term capability, not only buy a solution

- The strategic question is not “build or buy?”
- It is “which capabilities must remain distinctive, and which can be modularized?”

Tension 3 – Centralize vs. Empower

Why centralize?

- One data standard
- Shared platforms and lower duplication
- Clear governance and accountability
- Better enterprise-wide visibility

Why empower local units?

- Closer to customers and operations
- Faster adaptation to local needs
- More ownership and experimentation
- Better fit for diverse business lines

Managerial challenge

- Centralize what must be common.
- Empower where speed and contextual knowledge matter.
- Without this balance, the firm becomes either chaotic or slow.

Many digital transformations fail not because the technology is wrong, but because governance is wrong.



Experience Exchange

From the End-User Perspective

Where do you see a "digital" service that still feels slow, fragmented, or inconsistent?

What part of the experience is standardized well? What part still feels rigid?

From the Manager Perspective

Where does your company struggle to balance control and responsiveness?

Which processes should stay standardized?
Which should become more flexible?

Be concrete: what process, what user, what trade-off?

How to Conduct Digital Transformation



Diagnose

strategic pain points
customer friction
operational bottlenecks
data gaps



Redesign

customer journey
operating model
roles and decisions



Build foundations

data
platforms
process integration
standards



Scale adoption

change management
metrics
governance
capabilities



Learn

iterate
rebalance
upgrade



- Transformation is not a one-time implementation.
- It is a staged redesign and learning process.

Why Digital Transformation Initiatives Fail

Wrong Problem

Tool-first mindset
No clear value pool
Weak link to strategy

Weak Redesign

Old workflows survive
Data stays fragmented
Responsibilities stay unclear

Weak Adoption

Little frontline buy-in
Poor incentives
Insufficient training and change management

Weak Governance

Too centralized or too fragmented
No sequencing
No metrics & learning loop

- Most transformation failures are not caused by software defects.
- They come from poor diagnosis, weak redesign, weak adoption, and weak governance.

DT in the Age of AI

How AI changes what's possible

- Faster, more granular, data-driven decisions at scale
- Continuous personalization & prediction
- Real-time process adaptation
- New business models (e.g., platform intelligence, predictive services)

What AI does not fix

- Broken data foundations
- Poor process design
- Unclear incentives or governance
- Lack of trust and adoption

Before AI: “How do we digitize and integrate our processes?”

With AI: “Which decisions and processes can become intelligent, adaptive, and predictive — and what organizational changes does that require?”

Case – Tsingtao Brewery

Digital Transformation Road to “Lighthouse Factory”

Case Context

- Tsingtao Brewery (founded 1903) — one of China’s oldest and most iconic beer brands, ~40,000 employees, 60+ factories, 1,100+ suppliers
- Industry context: fierce competition, declining volumes since 2014, COVID disruption, shifting consumer preferences (Gen Z, premiumization)
- Tsingtao pursued digital transformation of its end-to-end supply chain and was selected as a WEF “Lighthouse Factory” in 2021



Case Discussion

Group discussion: ~15 min

Share-back & class discussion: ~30 min

1

Diagnosis & Strategy

What were Tsingtao's major challenges before DT? Why pursue a high-end "Blue Ocean" strategy rather than competing on scale and price? How did DT enable this shift?

2

Performance Assessment

Using Exhibits 7–11, assess Tsingtao's performance after DT. Which metrics best capture the value of the digital supply chain — financial indicators, operational KPIs, or both?

3

Efficiency vs. Agility

How did Tsingtao move from 3,000-case minimum orders to 15-case custom orders? What trade-offs did this require in production, logistics, and cost? Is this sustainable?

4

Own vs. Partner + Centralize vs. Empower

Why did Huang insist on building digital capabilities mainly in-house? Was establishing the Supply Chain Center the right structural move? What risks do these choices create?

5

Future Challenges

What difficulties could Tsingtao face going forward? Consider: ecosystem digitalization, culture inertia with 40,000 employees, data quality, and talent gaps.

Managerial Takeaway

- Digital transformation is **not** a technology project.
- It is a strategic redesign of how the firm operates, decides, and creates value — enabled by technology.

Connection to your group project

Your project asks you to diagnose an IS-related **problem** and propose an AI-driven **solution**.

-  Start with the business problem, not the technology
-  Think about process, roles, and data — not just the AI model
-  Anticipate adoption barriers and governance needs
-  Evaluate whether the operating model is ready for the proposed solution

Q&A

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Office hours: Tue & Thu 11:15–12:30 | Wed 14:00–16:30